

Playbook: Insurance Requirements

SECTION 14: INSURANCE REQUIREMENTS

14.1 Preferred Northwind Position (Model Clause Language)

14.1.1 Coverage Maintenance. Throughout the term of this Agreement and for a period of two (2) years thereafter, Northwind Systems, Inc. ("Northwind") shall maintain, at its sole expense, commercial insurance policies with solvent and admitted carriers rated A- VII or better by A.M. Best Company, providing the following minimum limits of coverage:

(a) Commercial General Liability (CGL): Limits of not less than \$1,000,000 per occurrence and \$2,000,000 in the aggregate, covering bodily injury, property damage, personal injury, and advertising injury, written on an occurrence form.

(b) Cyber Security and Privacy Liability: Limits of not less than \$5,000,000 per claim and in the aggregate, covering network security liability, privacy liability, regulatory fines, data breach response costs, cyber extortion, and business interruption.

(c) Errors and Omissions / Professional Liability (E&O): Limits of not less than \$5,000,000 per claim and in the aggregate, covering professional services, software errors, system failure, and intellectual property infringement.

(d) Workers' Compensation and Employer's Liability: Statutory workers' compensation limits and employer's liability limits of not less than \$1,000,000 per accident, disease, and employee.

14.1.2 Additional Insured and Waiver of Subrogation. Commercial General Liability and Cyber Liability policies shall name Customer as an additional insured solely with respect to liability arising out of Northwind's performance of services under this Agreement. Northwind shall provide a waiver of subrogation in favor of Customer under its Workers' Compensation policy.

14.1.3 Certificate of Insurance (COI). Upon written request, Northwind shall furnish a certificate of insurance evidencing such coverage. Northwind shall provide thirty (30) days' prior written notice of cancellation or material reduction of any required coverage.

14.2 Fallback Position

14.2.1 If the counterparty rejects the preferred position, Counsel may execute a fallback position meeting the following minimum thresholds, provided aggregate annual contract value (ACV) does not exceed \$250,000:

- (a) CGL Limits: Accept reduction to \$1,000,000 per occurrence and \$1,000,000 in the aggregate.
- (b) Cyber and E&O Limits: Accept reduction to \$2,000,000 per claim and in the aggregate for accounts with ACV under \$100,000. For accounts between \$100,001 and \$250,000, maintain \$5,000,000 Cyber and E&O.
- (c) Notice of Cancellation: Accept industry-standard twenty (20) days' notice of cancellation, or ten (10) days for non-payment of premium.
- (d) Tail Coverage: For claims-made policies (Cyber and E&O), accept a one (1) year discovery/tail period post-termination rather than two (2) years.

14.3 Walk-Away Position

14.3.1 Counsel shall terminate negotiations and escalate to the Chief Executive Officer if the counterparty insists upon any of the following terms, as they violate Northwind's underwriting risk profile:

- (a) Unlimited Liability via Insurance: Requirement that insurance limits serve as "floors" rather than caps, or demand for insurance limits exceeding \$10,000,000 per claim.
- (b) Primary and Non-Contributory Mandates: Refusal to permit Northwind's policies to respond on an excess basis over Customer's own policies for Customer-side network failures.
- (c) Direct Additional Insured Status on Cyber/E&O: Demand to be named as an additional insured on Northwind's Cyber or E&O policies (which is commercially unavailable in the current insurance market).
- (d) Uncapped Aggregate Multiples: Demand for insurance coverage exceeding three (3) times the annual contract value where ACV exceeds \$1,000,000.

14.4 Specific Numeric and Categorical Thresholds

14.4.1 Monetary Floor for Cyber/E&O: \$2,000,000 per claim/aggregate is the absolute minimum acceptable limit for any enterprise SaaS agreement.

14.4.2 Coverage Cap Multiple: Total insurance limits shall not exceed two (2) times the total contract value (TCV) over a three-year term, or three (3) times the annual contract value (ACV) for single-year terms.

14.4.3 Notice Period: Thirty (30) days' preferred notice of cancellation; twenty (20) days absolute minimum acceptable notice.

14.4.4 Cure Period for Lapses: If coverage lapses, Northwind shall have ten (10) business days from receipt of written notice to cure and reinstate coverage.

14.5 Named Deviations Requiring Escalation

14.5.1 The following deviations from the playbook are strictly prohibited without written sign-off from the named internal authority:

- (a) Acceptance of Self-Insurance or Captive Insurers: Any counterparty request to self-insure or utilize an unrated captive insurance entity must be escalated to Marcus Vance, Chief Financial Officer.
- (b) Waiver of Cyber Liability Requirement: Any contract where the counterparty agrees to waive the Cyber Security and Privacy Liability requirement entirely must be escalated to Sarah Jenkins, Chief Information Security Officer.
- (c) Insurance Limits Exceeding Standard Playbook by >\$5,000,000: Any agreement requiring Northwind to carry in excess of \$10,000,000 in aggregate limits must be escalated to Arthur Pendelton, General Counsel, to verify premium cost-sharing terms with Sales leadership.

14.6 Worked Examples of Counterparty Language

Acceptable Counterparty Language (Approved for Inclusion)

Example 1 (Standard CGL/Cyber acceptance):

> "Vendor shall, at its own expense, maintain Commercial General Liability insurance with limits not less than \$1,000,000 per occurrence, and Cyber Liability insurance with limits of not less than \$2,000,000 per claim. Vendor shall provide a certificate of insurance upon request and thirty (30) days' notice of cancellation."

Example 2 (Acceptable additional insured formulation):

> "Customer shall be added as an additional insured under Vendor's Commercial General Liability policy, but only to the extent of liability directly caused by Vendor's negligent acts or omissions in the performance of services under this Agreement."

Unacceptable Counterparty Language (Must Be Rejected)

Example 1 (Additional insured on professional lines - violates market standard):

> "Vendor shall name Customer as an additional insured on Vendor's Cyber Liability and Errors & Omissions policies, and such policies shall be endorsed to be primary and non-contributory with any insurance maintained by Customer."

Reason for rejection: Cyber and E&O policies cannot legally or commercially accommodate additional insured status for third parties.

Example 2 (Disproportionate coverage multiple - violates risk parameters):

> "Vendor shall maintain Errors and Omissions insurance with a limit equal to the greater of \$15,000,000 or ten (10) times the total fees payable under this Agreement, throughout the term and for five (5) years thereafter."

Reason for rejection: Exceeds the maximum allowable limit threshold (\$10,000,000) and tail period (2 years) without executive escalation.